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ECONOMIC SURVEYS

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DENMARK

I. 2.B.4

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS FEBRUARY 1965

BASIC STATISTICS OF DENMARK

THE LAND

Area (thousand sq.km.)	43
Agricultural area (thousand sq.km.)	31
Urban population inclusive suburbs (July 1964):	
— Copenhagen	1,375,600
— Other cities	1,287,500

THE PEOPLE

Population (July 1964)	4,717,976
Number of inhabitants per sq.km.	110
Net natural increase (average 1961-1963)	34,100
Net per 1,000 inhab. (average 1961-1963)	7,4
Labour force, total (1960)	2,094,000
Of which in agriculture	366,000

PRODUCTION

Gross national product in 1963 (millions of kroner)	54,996
GNP per head (U.S. dollars)	1,700
Gross fixed capital formation in 1963:	
— Per cent of GNP	19
— Per head (U.S. dollars)	322

THE GOVERNMENT

Public consumption in 1963 (per cent of GNP)	15
General government current revenue in 1963 (per cent of GNP)	29
Public gross fixed capital investment (per cent of GNP)	2
Composition of Parliament (No. of seats):	
— Social Democrats	76
— Social Liberals	10
— Liberals	38
— Conservatives	36
— The Independent Party	5
— Left Wing Socialists	10
— Greenland and Faroe Islands	4
Total	179

Last general elections: 1964

Next general elections: 1968

LIVING STANDARDS

Calories per head, per day (1961-1962)	3,370
Average hourly earnings of workers in manufacturing and construction in 1963 (in kroner)	8,00
Number of passenger cars in use per 1,000 inh. (Dec. 1963)	129
Number of telephones per 1,000 inh. (1963)	255
Number of television licences per 1,000 inh. (1964)	216

FOREIGN TRADE

Exports:	
Exports of goods and services in per cent of GNP (1963)	31
Main exports in 1963 (percentage of total merchandise exports):	
— Agricultural products	41
— Canned meat and canned milk	7
— Industrial goods	46
— Other goods	6
Imports:	
Imports of goods and services in per cent of GNP (1963)	30
Main imports in 1963 (percentage of total merchandise imports):	
— Machinery	14
— Fuels	13
— Base metals	8
— Transport equipment	10
— Textiles	9

THE CURRENCY

Monetary unit: Krone.

Currency unit per U.S. dollar 6,91

ECONOMIC SURVEYS BY THE OECD

DENMARK

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the OECD shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the OECD, which came into being on 30th September 1961.

The Members of OECD are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Japan, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

This document was approved
by the Economic and Development Review Committee
in February, 1965.

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INTRODUCTION

Since 1958, the Danish economy has been marked by strong expansion and a high rate of employment. The last few years, however, have seen considerable fluctuations in the pressure of home demand and in the balance of payments. The current balance of payments swung from large deficit in 1962 to a small surplus in 1963, but back to heavy deficit in 1964. Prospects for 1965 are for a continued high rate of growth and for a considerable deficit on the balance of goods and services, though both the internal growth and the external deficit are expected to be reduced somewhat from 1964.

Part I of this survey reviews the main economic trends and discusses the factors underlying the movements in the last few years. Part II reviews the measures taken to deal with the situation and considers the stabilisation problems facing the authorities at the beginning of 1965.

I. MAIN ECONOMIC TRENDS

Heavy External Deficit, 1961-1962

Table 1 illustrates in summary form the instability prevailing in recent years. In the 1961-1962 period, the current external deficit rose sharply to an annual rate of $ 175 million, about 2.5 per cent of GNP. This development was not caused by adverse changes in external conditions; in particular, import prices remained relatively stable and foreign demand for Danish exports continued to expand. To some extent the movement of the current account may have been due to the sharp increase in Danish wage costs. Hourly industrial earnings rose by 11 per cent a year, much faster than in most other Member countries. Since the advance in productivity is unlikely to have been much in excess of that achieved elsewhere, the relative cost position of Danish industry probably deteriorated. But the continued strong expansion of Danish industrial exports suggests that this deterioration is unlikely to have been serious. Indeed, Danish industrial exports have risen rather faster than those of other Western European countries combined (see Table 2).

The main reason for the worsening of the balance of payments was the strong increase in domestic demand, leading to increased pressure on resources. This development could largely be ascribed to two factors. First, a sharp increase in money incomes far in excess of the rise in output. Between 1960 and 1962, total money incomes rose by 23 per cent; the increase in the real gross national product amounted to 12 per cent. Second, in 1961-1962 (1st April-31st March) the surplus on the current

TABLE 1. **SELECTED ECONOMIC INDICATORS**

	1961 AND 1962	1963	1964 ESTIMATE
	$ million, annual rate		
Current external balance	– 175	23	– 200
	Percentage changes, annual rate		
GNP, constant prices	5.3	1.5	6 to 7
Money incomes	11.0	7.0	9 to 10
Domestic demand, current prices	12.9	3.1	13 to 14
Total gross investments, current prices	12.8	– 11.0	23 to 24
Gross fixed investment, current prices	14.2	1.7	17 to 19
Gross savings, current prices	10.8	7.0	12 to 14
Merchandise imports, current prices	9.0	0	20 to 22
Merchandise exports, current prices	5.6	14.2	10 to 11
Consumer prices	6.3	4.5	3 to 4
Wholesale prices	1.9	3.8	2 to 3
Hourly earnings in industry	11.4	8.3	7 to 9

Sources: Danish Economic Survey, 1964, Statistiske Efterretninger, and Secretariat's estimate.

and investment account of the government budget fell sharply, and the cash surplus was replaced by a deficit mainly because of a reduction in direct taxes, an increase in civil servants' salaries, and the introduction of agricultural subsidies. Government action to restrain demand was taken too late. It was clear by 1961, particularly after collective bargaining had resulted in an immediate increase in wages of 8 per cent, that demand was becoming excessive. Although monetary policy was tightened at an early stage of the expansion, action in other fields was not taken until the summer of 1962.

Restoration of External Equilibrium, 1963

By the middle of 1962 the current external deficit had become very large and the official foreign exchange reserves had fallen to a low level (the equivalent of about three weeks' merchandise imports) so that strong and immediate action was needed. The measures taken included the introduction of a general purchase tax of 9 per cent, a ceiling on government expenditure for the fiscal year 1962-1963, and some reduction in private and public building starts. These measures had a stabilising influence on the economy, but by the beginning of 1963 this was already being endangered. The cost-of-living index was likely to lead to an automatic increase in

TABLE 2. INDUSTRIAL EXPORTS FROM DENMARK AND FROM WESTERN EUROPE

	PERCENTAGE CHANGE FROM PREVIOUS YEAR				
	1960	1961	1962	1963	1964[1]
Machines, apparatus and instruments:					
Western Europe	18	18	9	8	12
Denmark	16	12	16	14	5[2]
Other manufactures:					
Western Europe	17	7	6	10	17
Denmark	18	9	10	18	28
Total:					
Western Europe	18	12	7	10	15
Denmark	17	10	12	16	18

NOTE. Western Europe includes EFTA and EEC.

Industrial exports do not include canned goods, vegetable and animal oils, ships, aircraft, and the following industrial products, of which Danish exports are insignificant: ores, steel, metals, forest products, fuel, and motor vehiches.

1. From 1st half of 1963 to 1st half of 1964.
2. Influenced by big deliveries of certain machinery to East-European countries in the first half of 1963; excluding these deliveries the figure would amount to 14.

Sources: Danish Economic Survey, 1963 and 1964.

wages of 3 per cent, there was a risk that new collective bargaining would lead to excessive increases in nominal incomes, and a cut in direct taxes was due to come into effect. Further action was thus inescapable, and this was taken in March in the form of Parliamentary legislation. The most important provisions were the prolongation for a two year period of the collective agreements expiring at the end of February, with an average

increase in wages of only 1 ¼ per cent in the first year and 2 ½ per cent in the second; only small increases in government support payments to agriculture; a price and profits stop; and a compulsory savings scheme designed to offset most of the loss in budget receipts resulting from the cut in direct taxes.

As a result of these measures the rise in domestic demand slowed down in 1963; indeed, in real terms it fell. The rise in wages and prices became more moderate. The increase in imports flattened out and the current account of the balance of payments moved into small surplus. Such small increase of output as did take place (2 per cent) was mainly achieved through higher exports.

Renewed External Imbalance, 1964-1965

But the external balance fell back into large deficit in 1964 and, as in 1962, the main reason for this was an excessive increase in home demand with a particularly strong increase in investment. After better stability had been restored in the second half of 1963, economic policy was relaxed. The discount rate was reduced in two stages from 6 ½ to 5 ½ per cent, and the restraint on building activity was eased. The rise in exports accelerated in 1963, to a large extent because of an increase in agricultural sales; this led to a strong increase in agricultural incomes, stimulating investment and consumption in this sector. The rise in demand speeded up in 1964 and led to increased pressure on resources, with a steep rise in imports far in excess of the rise in exports.

In 1964, total demand in current prices was about 13 per cent higher than in 1963; the growth of home demand was even faster. In real terms the increase in total demand (foreign and domestic) amounted to 8 to 9 per cent.

Investment demand rose sharply, both for inventories and fixed asset formation. There was probably some de-stocking in the second half of 1963. In 1964 stockbuilding may have represented more than 2 per cent of GNP. The rise in fixed investment affected both building and equipment. In real terms, investment in building and construction was at least 10 per cent higher than in 1963. Good weather conditions in the winter months, combined with easier credit and the relaxation of building controls, led to a sharp increase in housing starts, and business investment also rose. Public construction activity increased considerably in 1964.

Private consumption rose in rough proportion to GNP. Wages were increased in the early months of 1964, partly because of the increase agreed in the 1963 wage settlement, and partly because of a cost-of-living adjustment; to offset the effect on the government budget of the cost-of-

TABLE 3. NATIONAL PRODUCT AND EXPENDITURE

Percentage change from previous year.

	CURRENT PRICES					1955 PRICES				
	1960	1961	1962	1963	1964[1]	1960	1961	1962	1963	1964[1]
Gross national product at market prices	8.1	10.6	12.1	6.4	11	6.5	5.5	4.9	1.5	6
Imports of goods and services	12.0	4.6	13.2	0.6	21	9.8	4.2	13.3	– 0.2	18
Total supply	9.0	9.1	12.4	5.1	13	7.4	5.1	7.2	1.0	9
Exports of goods and services	7.3	3.0	7.2	12.2	10	8.3	4.3	5.4	11.2	7
Domestic demand	9.6	11.0	13.9	3.1	14	7.1	5.4	7.8	– 2.3	10
of which:										
Public consumption	6.7	16.7	12.9	9.9	11	4.8	7.1	7.1	5.6	7
Private consumption	7.6	11.0	13.3	5.8	10	4.8	6.9	6.6	0.1	6
Gross fixed capital formation	11.2	16.4	12.4	1.7	18	8.0	9.2	7.3	2.3	13
Building and construction	14.7	23.2	12.0	1.5	..	11.1	13.8	5.8	– 2.2	..
Machines, etc.	12.3	16.9	15.1	1.8	..	8.0	9.4	9.4	2.3	..
Change in stocks, mill. kr.	1,413	681	1,211	– 2	1,400	1,400	666	1,134	50	1,200

1. Secretariat estimates.

Source: Danish submission to OECD.

living adjustment of civil servants' salaries, indirect taxes were raised in February. In the second quarter, the compulsory savings scheme introduced in 1963 came to an end. This represented some relaxation of fiscal policy. Public consumption continued to rise relatively fast.

TABLE 4. UNEMPLOYMENT AMONG INSURED WORKERS

IN PER CENT OF INSURED WORKERS	AVERAGE		
	JAN-APRIL	MAY-AUGUST	SEPT-NOV.
1962	5.3	1.0	1.8
1963	7.9	1.3	2.1
1964	4.8	0.7	0.9

Source: Danish submissions to the OECD and Statistiske Efterretninger.

Total output was able to rise by as much as 6 to 7 per cent in real terms in 1964, partly because there was some under-utilisation of capacity at the beginning of the year. The number of unemployed fell to less than 5,000 in the summer months, or 0.7 per cent of the insured labour force, the lowest level experienced in the post-war period. Hourly earnings in industry seem to have risen at about the same rate as in 1963. Although

TABLE 5. PRICES

	CHANGES IN PER CENT		
	CONSUMER PRICES	WHOLESALE PRICES	IMPORT PRICES[1]
January 1960-January 1961	1.0	− 1.0	− 1.0
— 1961- — 1962	6.9	2.0	0.0
— 1962- — 1963	8.5	4.8	1.0
— 1963- — 1964	1.7	0.9	2.0
January 1963-July 1963	0.4	0	1.0
July 1963-January 1964	1.2	0.9	1.0
January 1964-July 1964	2.7	1.8	..
July 1964-October 1964	1.4	0.0	..

1. Unit value, quarterly figures.
Source: Statistiske Efterretninger.

prices rose somewhat faster than earlier, the strong pressure of demand had its main incidence on the balance of payments, reflecting the openness of the Danish economy and its heavy dependence on foreign trade.

In the first three quarters of 1964, the deficit on the current account of the balance of payments amounted to $ 185 million. The rise in exports, although lower than a year earlier, remained significant, with an acceleration in the rise of industrial exports to an annual rate of about 18 per cent. But imports rose by 23 per cent. In 1964 as a whole, the current deficit probably amounted to some $ 200 million. It was entirely financed by public and private borrowing abroad. The gross official foreign exchange and gold reserves rose by $ 176 million to $ 582 million at the end of the year, the equivalent of three months' merchandise imports.

TABLE 6. **INDUSTRIAL WAGES**[1]

	CHANGES IN PER CENT FROM THE SAME QUARTER IN PRECEDING YEAR				YEARLY CHANGE	
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	TOTAL	OF THIS: COST-OF-LIVING ALLOWANCES
1960	6.0	7.2	7.2	7.0	6.8	1.1
1961	8.5	13.1	13.5	14.6	12.4	0.8
1962	14.1	8.7	9.5	9.6	10.5	2.8
1963	8.8	8.9	8.1	7.3	8.3	3.6
1964	9.3	8.0	n.a.	n.a.	n.a.	n.a.

1. Overtime payments not included.
Source: Statistiske Efterretninger.

There is little reason to believe that the expansion of home demand, without further policy measures, would slow down very much in 1965. Stock accumulation will probably become more moderate, influenced by the tighter monetary policy adopted in the course of 1964. House-building may be similarly affected, though the gradual removal of restrictions on housing starts in the great cities tends to increase construction. But given the existing pressure on industrial capacity and relatively high profits, business fixed investment demand would seem likely to remain strong. Moreover, public investment can be expected to rise significantly. During 1964, public building activity rose substantially. At the beginning of October, public buildings under construction in urban areas were 21 per cent higher than a year earlier. The public building programme adopted for

the fiscal year 1964-1965 was considerable, but a ban was imposed on public building starts between 1st April and 15th October. The lifting of the ban has probably been followed by a further strong increase in the volume of public buildings under construction during the winter. Although no decision has yet been taken concerning the programme of public building

TABLE 7. BALANCE OF PAYMENTS

Millions of dollars.

	1960	1961	1962	1963	JAN.-SEPT. 1963	JAN.-SEPT. 1964[1]
Exports (f.o.b.)	1,488	1,531	1,656	1,897	1,373	1,493
Imports (f.o.b.)	1,699	1,772	2,021	2,015	1,474	1,811
Trade balance	– 211	– 241	– 365	– 118	– 101	– 318
Net freight earnings	77	71	69	77	57	69
Other services, net	73	59	55	64	48	64
Balance of goods and services	– 61	– 111	– 241	23	4	– 185
Net unilateral transfers	3	1	–	–	–	–
Current balance	– 58	– 110	– 241	23	4	– 185
Net public capital movement	– 5	8	32	90	73	82
Net borrowing by public utility corporations	–	21	24	23	24	51
Net private capital movement	27	48	68	65	34	96
Errors and omissions	11	9	26	47	42	43
Overall balance	– 25	– 24	– 91	248	177	87
Increase in commercial banks' net foreign assets	– 55	– 21	– 65	30	49	– 11
Increase in National Bank's net foreign exchange reserves and gold	30	– 3	– 26	218	128	98
Gross official foreign exchange and gold reserves, end of period[2]	221	218	191	406	313	509

1. Estimate.
2. As reported to IMF but excluding monetary gold ($ 31 million) and IMF gold tranche position ($ 33 million).

Source: Danish submission to the OECD, and Statistiske Efterretninger.

and civil engineering projects to be started in the fiscal year 1965-1966, a further significant increase is probable. A particularly strong rise is foreseen in refunding of local government expenditure for road building in 1964-1965, which rose strongly after 1st April 1964, when a temporary ceiling on central government refunding expired.

Private consumption is also likely to increase rather fast in 1965 since there will be a further rise in money incomes. Civil service salaries, which

previously had lagged behind the increase in other incomes, were increased by 12-13 per cent on 1st January 1965. A cost-of-living adjustment of all wages and social pensions of 2-3 per cent is likely to take place in March-April. The new wage agreements which have to come into force on 1st March have not yet been concluded. A general agreement between the central organisation of the labour unions and the employers was reached in the beginning of January, but this is subject to approval by the members of the two organisations in a ballot to be arranged by the end of February. According to the agreement proposed, which would seem to be in line with the recommendation of the Economic Council[1], there should be a general pay rise of 2 per cent from March 1965 and one of 1.5 per cent from March 1966. There should be an additional rise in the earnings of the lowest paid workers, and special conditions in the various sectors would be negotiated in individual industries. From 1st March 1966, weekly working hours will be reduced from 45 to 44 without reduction in weekly earnings. It is also reasonable to expect some further wage drift in 1965, given the existing strain on the labour market. In total, the rise in hourly earnings in 1965 is likely to amount to 7 to 8 per cent.

These prospects point to the danger that home demand will again rise faster than output. Total capacity is probably rising at a rate of about 4 per cent, with the labour force growing by about 1 per cent and productivity increasing by about 3 per cent a year. In the absence of further policy measures, there would therefore seem little reason to expect the current account deficit to fall much in 1965. The Danish authorities reckon that a 4 per cent increase in real GNP in non-inflationary conditions tends to be accompanied by an increase in imports of about $ 150 million. This represents about 7-8 per cent of total merchandise exports, or 15 per cent of industrial exports. An increase in merchandise exports of this magnitude is not impossible. Agricultural sales abroad are not likely to rise much, but the strong expansion of industrial exports of recent years might well continue. The probable tendency towards some slowdown in the expansion of world trade, and developments in the United Kingdom, will not facilitate the increase in Danish exports. The proportion of exports that will be affected by the British import surcharge is small, but the United Kingdom is one of the markets where Danish exports of manufactures have grown at a particularly fast rate in recent years. Nevertheless, a substantial rise in exports would seem likely. In the last five years period the rise in total Danish industrial exports have in no year been less than 10 per cent, and the rate has tended to increase rather than decrease.

1. The Economic Council had reported that the scope for higher wages in 1965, in addition to the cost-of-living adjustment, was about 3 per cent. This estimate was based on the assumptions that productivity was rising at a rate of 3 per cent a year, and that wage and salary incomes rose rather less than total incomes in 1964, i.e., the strong rise in profits should have left room for an increase in wages in excess of the productivity ratio.

II. ECONOMIC POLICY

In the 1961-1962 expansion government disinflationary action was taken too late. This meant that strong measures were needed at a later stage, entailing a flattening out of the growth of economic activity in 1963. During the current expansion restrictive measures were taken at an earlier stage. Taxes were promptly raised at the beginning of 1964 to finance additional expenditure, and a strong budget has been maintained in the fiscal year 1964-1965. Monetary policy was also tightened in 1964, but a significant credit expansion has nevertheless taken place. The following paragraphs review these measures briefly. In the concluding paragraphs the need for some further strengthening of demand management policy is discussed.

Budgetary Policy

The 1964-1965 budget adopted by Parliament showed a decline in the cash surplus. But more recent estimates suggest that revenues are rising faster than earlier and that expenditure is rising less than envisaged partly because of the temporary ban on public building starts in the first half of the fiscal year. The cash surplus is therefore likely to be of the same order of magnitude as the one achieved in 1963-1964. But since the spring of 1964, when the compulsory savings scheme came to an end, the cash surplus has been running at a lower rate.

The 1965-1966 budget submitted to Parliament in November 1964 was based on existing legislation; it showed an 11 per cent increase in current and investment expenditure. Since the submission, decisions have been taken that will affect the budget. As mentioned earlier, civil service salaries were raised from the beginning of 1965, entailing a yearly cost of kr. 500 million. A compromise was reached between the political parties in December on raising some indirect taxes temporarily in order to cover this extra expenditure until the middle of 1965. The wage agreements to be concluded in the private sector will be followed by a new round of negotiations on civil service salaries and social pensions. The existing agricultural support legislation expires in the summer of 1965, and decisions on the future support legislation are expected to take place in the spring. The budget therefore only includes agricultural subsidies for the period until 1st July. Furthermore, the budget figure for civilian investment expenditure is of a provisional nature, pending Government decision on the 1965-1966 public building and construction programme. In these circumstances total expenditure is likely to rise more than envisaged in the budget. Moreover, the Minister of Finance has stated that it is

desirable to aim at some increase in the cash surplus in 1965-1966. Additional current revenue will therefore be needed.

On the basis of unchanged legislation current tax revenue is estimated to increase by about kr. 1,200 million from 1964-1965 to 1965-1966. But receipts under the compulsory savings scheme of kr. 180 million in 1964-1965 will be replaced by repayments of kr. 120 million in 1965-1966. Total revenue is thus estimated to increase by about kr. 900 million. Taking into account the desire to augment the cash surplus and the proposal tabled

TABLE 8. CENTRAL GOVERNMENT BUDGET

Millions of kroner.

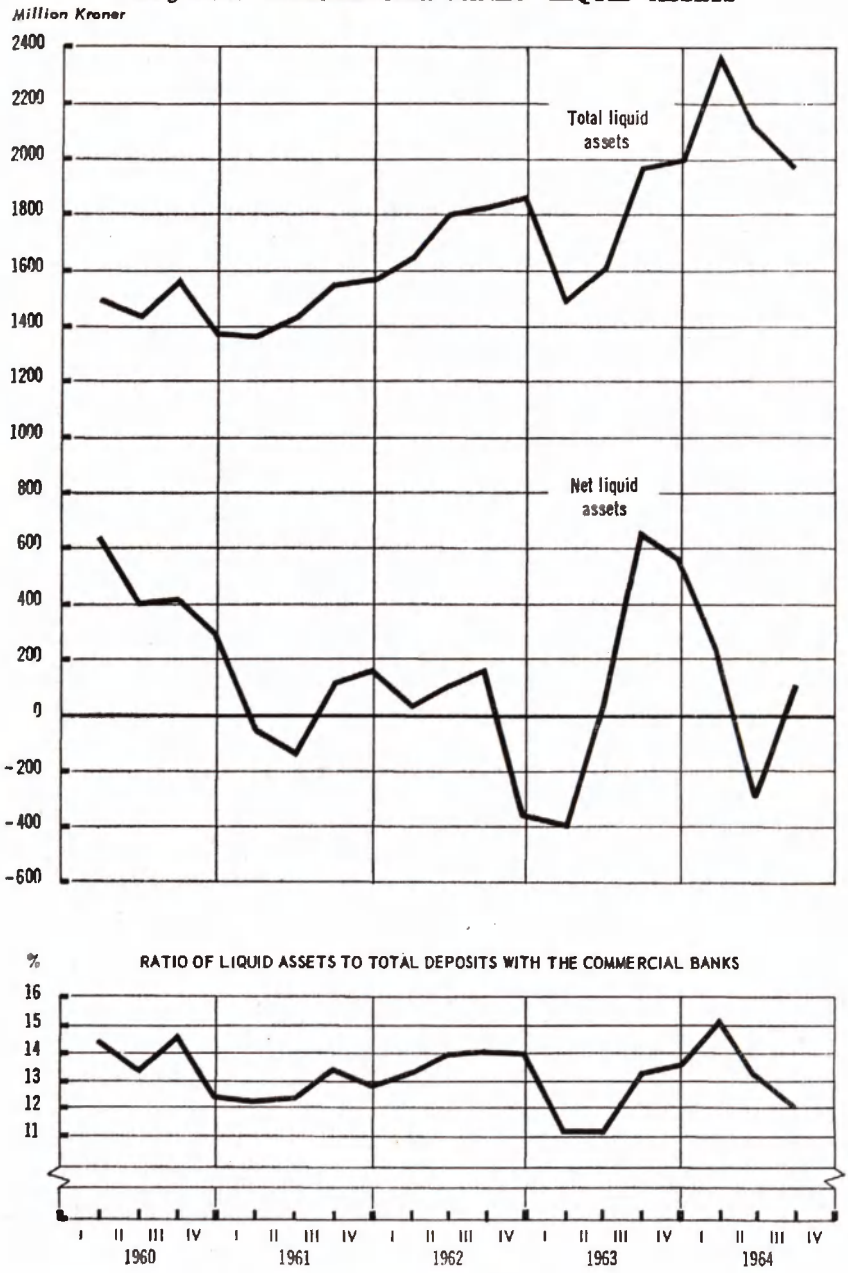
APRIL TO MARCH	1961-1962	1962-1963	1963-1964	1964-1965		1965-1966[1]
				ADOPTED BUDGET	ESTIMATE NOVEMBER 1964	
Current revenue	8,026	9,830	11,053	12,144	12,375	13,544
Current and investment expenditure	7,802	9,114	10,152	11,572	11,355	12,608
Civil current expenditure	5,662	6,508	7,354	8,452	8,310	9,030
Civil investment expenditure	973	1,102	1,173	1,400	1,325	1,889
Defence (including civil defence)	1,167	1,504	1,625	1,720	1,720	1,689
Surplus on current and investment account	224	716	901	572	1,020	936
Surplus in % of current government revenue	2.8	7.3	8.2	4.7	8.2	6.9
Surplus in % of the GNP	0.5	1.7	2.1	..	..	..
Capital expenditure	1,052	768	925	779	805	793
Capital income	213	232	645	440	460	156
Cash balance	– 615	180	621	233	675	299

1. In the Budget (November 1964) the following items have not been taken into account:
a) Increased indirect taxation enacted in December, 1964.
b) Proposed reduction of personal income tax rate for 1965/66.
c) Increase of salaries for civil servants, effective from January, 1965, agreed in December (about Kr. 500 mill. for a full year).
d) Including agricultural support payments only up to the middle of 1965.

Source: Statsfinanserne 1964, and Danish submission to the OECD.

by the Government for reduction of personal income tax rates, a considerable increase in indirect tax revenue will be needed. A study on a major extension of the basis of indirect taxes has been undertaken. Such extension might possible take the form of a value-added tax. An official report on the technical aspects of a value-added tax was published in January 1965.

Diagram 1. **COMMERCIAL BANKS' LIQUID ASSETS**



Source: Danmarks Nationalbank, Monetary Review.

Monetary Policy

Monetary policy was relaxed in the second half of 1963, but tightened again in 1964. The liquidity position of the commercial banks deteriorated, whether measured by gross liquid assets, the ratio of gross liquid assets to total deposits, or net liquid assets (liquid assets minus liquid liabilities to the Central Bank and to abroad). The main factors behind the movement of bank liquidity were the surplus on government account, the deterioration of the balance of payments and the rise in the note circulation.

TABLE 9. MONETARY SURVEY
CHANGES IN MAJOR ITEMS

Millions of kroner.

	1961	1962	1963	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.	1964 4th QTR.
Central Bank:							
1. Foreign assets[1], net	– 22	– 161	1,486	– 10	284	399	488
2. Claims on government, net.	317	– 183	– 600	– 619	– 445	72	– 552
3. Lending:							
a) to commercial banks	106	375	– 609	660	136	– 428	– 2
b) to others	– 4	31	– 10	– 39	4	35	– 26
4. Securities	6	361	205	58	40	86	249
5. Notes in circulation	313	186	331	– 101	133	– 62	312
6. Deposits from commercial banks	92	180	50	143	– 196	59	– 18
7. Other deposits	8	4	31	37	– 2	– 13	– 6
Commercial banks:							
8. Foreign assets, net	– 167	– 382	209	142	– 198	– 20	– 315
9. Net position with the Central Bank	– 14	– 195	659	– 517	– 332	487	– 16
10. Lending	1,328	1,659	1,029	434	1,052	190	678
11. Securities	76	285	434	99	– 114	12	– 40
12. Deposits	1,170	1,193	2,053	106	418	469	843

1. Including gold.

Source: Monetary Review, Danmarks Nationalbank, November 1964.

Monetary conditions became rather tighter than expected by the authorities so that the Central Bank supported the capital market by increasing its holdings of securities. With credit demand remaining strong, interest rates came under considerable pressure; long-term market rates rose sharply and by the end of the year reached their highest level in the post-war period. Bank rate was raised from 5.5 to 6.5 per cent in June.

The volume of funds raised in credit and capital markets rose significantly in 1964, despite the monetary restraint applied by the authorities. The expansion of bank credit was particularly strong, much stronger than expected by the National Bank, given the contracting liquidity base. The banks increased their borrowing from the National Bank. To discourage such borrowing a penalty rate of 6 per cent in addition to prevailing rates was introduced in August on borrowing from the National Bank for more than twenty days per quarter (thirty days in the fourth quarter) and on amounts exceeding 25 per cent of the commercial bank's own capital and reserves. There are indications that the credit expansion slowed down towards the end of 1964.

TABLE 10. NET INCREASE IN LENDING BY FINANCIAL INSTITUTIONS AND THE CENTRAL GOVERNMENT

Millions of kroner.

	1960	1961	1962	1963	JAN-SEPT. 1963	JAN-SEPT. 1964
Lending from:						
Commercial banks	1,487	1,307	1,660	1,052	542	1,676
Major savings banks[1]	572	449	569	587	489	688
Net supply of mortgage bonds, etc.[2]	1,387	1,945	2,333	3,099	2,187	2,600
Central Government	290	234	257	193	174	108
Total	3,736	3,935	4,819	4,931	3,392	5,072

1. i.e. savings banks holding deposits of not less than Kr. 5 million on March 31st of the year listed.
2. Estimates based on issues at market price less redemptions, which include purchases (also at market prices) for cancellation.

Source: Danish submissions to the OECD, Economic Survey of Denmark.

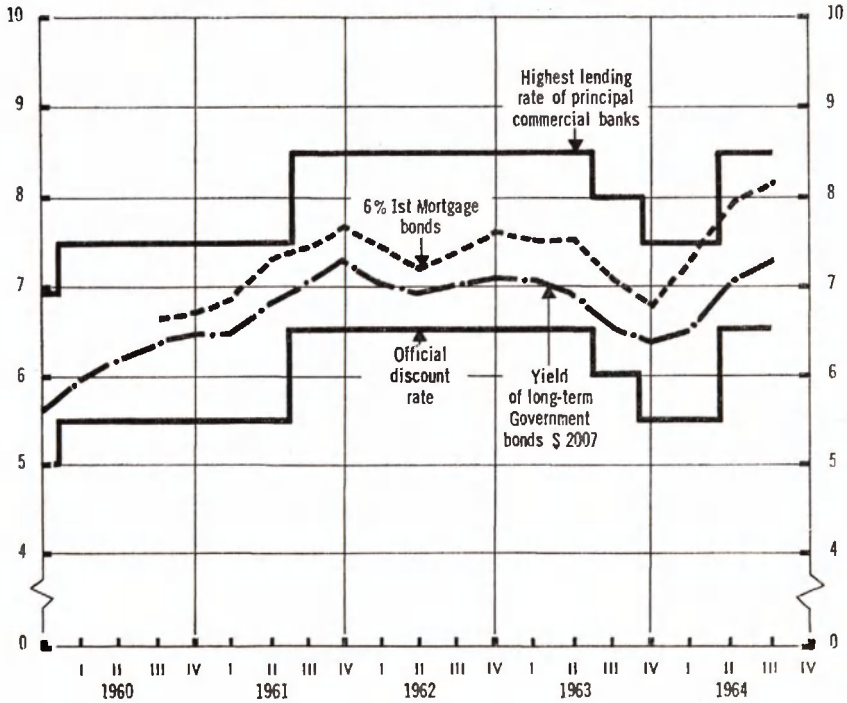
The expansion of home demand in 1964 was to some extent financed by an increase in the inflow of capital from abroad. The commercial banks reduced their net asset position, and both public and private enterprises raised more funds abroad than in previous years. To keep foreign borrowing within reasonable limits and to restrict the increase in demand based on this type of financing, public utilities and municipalities are no longer permitted by the Minister of Finance to raise long-term funds abroad.

Policy conclusions

The main problem in 1965 is, clearly, to remove the excess pressure of demand, which otherwise threatens to produce an uncomfortably large

external deficit on current account and to exacerbate the price and cost situation. The credit expansion, partly based on funds raised abroad, was excessive in 1964, but there are reasons to believe that it will henceforth be more easily controllable, with the deterioration of the liquidity position of the commercial banks, higher interest rates, and the inflow of foreign funds now restricted. Both credit supply and demand would seem likely to become more moderate in 1965. Given the existing level of interest

Diagram 2. **INTEREST RATES AND BOND YIELDS**



Source: Danmarks Nationalbank, Monetary Review.

rates, a further tightening of monetary policy would not seem reasonable. The main concern of the authorities must be to maintain a strong Government budget. In the budget proposal, a substantial increase is foreseen in investment expenditure; most public investment projects have a high priority, but it is important to design public investment programmes

with a view to avoiding strong demand pressures in building and construction. It is in any case essential that a significant surplus should be maintained. Experience suggests that, in non-inflationary full employment conditions, a surplus on current and investment account of some kr. 1.5 billion (about 2 per cent of GNP) or a cash surplus of about kr. 1 billion is required to keep the external current deficit within reasonable limits.

How far additional revenues will have to be raised to achieve such a surplus will depend on the final outcome of the income settlements in the spring, including decisions on civil service salaries, pensions, and agricultural subsidies. The additional revenue required will in any case be significant but it will also depend on decisions concerning public expenditure and on the outcome of the parliamentary discussions on the proposal to reduce personal income taxes. The problem of increasing taxes in order to reduce inflationary pressure is not, as in many other countries, complicated by the fact that higher taxes may lead to a price/wage spiral; in Denmark, both direct and indirect taxes are excluded from the wage-regulating price index. It is important to realize, however, that it is only the demand effect of higher wages and salaries that can be offset by demand management policy. The adverse effect on costs and the competitive position of Danish industry cannot thus be offset. Hence the importance of keeping the rise in money incomes in line with the increase in productivity.

Stabilisation problems have been in the forefront of economic policy in recent years. The development of a more comprehensive statistical picture of the economy, notably the non-agricultural sector, would facilitate short-run demand management. A more systematic analysis of longer-term trends would also help short-term policy. For the public sector, a three-year « rolling » programme of building plans has been adopted since 1963, and a similar long-term programme for civil engineering projects was adopted in 1964. These programmes cover the plans of both the central and the local authorities, including power stations and telephone companies. In 1964 the Economic Council published a study on structural problems and long-term trends in agriculture. It is important to ensure that programmes and policies in these sectors are consistent with trends in other sectors. In the present situation, with important decisions to be taken with regard to income and tax policy, it would be desirable that the longer-term implications of these decisions should be worked out as far as possible.

III. SUMMARY

The large deficit on the current balance of payments, both in the 1961-1962 period and in 1964, can mainly be ascribed to excess demand conditions at home. It is likely that home demand will again rise faster

than domestic resources in 1965, unless additional measures to restrain it are adopted. The monetary measures taken in 1964 should reduce the credit expansion in 1965 to more reasonable proportions than the increase that took place in 1964. But policy measures are needed to secure a sufficiently large surplus on the Government budget. The degree of budgetary tightening that will be required will depend heavily on the income settlements in the spring; excessive increase will call for progressively stronger measures to restrict demand. Strict attention needs also to be paid to the effect of the forth-coming incomes settlements on costs. Any tendency for money incomes to exceed the rise in productivity, with an adverse effect on the competitive position of Danish industry, will increase the likelihood of the balance of payments difficulties becoming a measure of constraint on growth policies in the future.

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STATISTICAL ANNEX

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Table I. NATIONAL PRODUCT AND EXPENDITURE

AT 1958 PRICES	D. KR. MILLION								PERCENTAGE CHANGE, ANNUAL RATE		
	1950	1957	1958	1959	1960	1961	1962	1963	1950-1957	1957-1960	1960-1963
Private consumption	20,329	22,115	23,136	24,520	25,739	27,737	29,582	29,685	1.2	5.5	4.9
Public consumption	3,089	4,471	4,500	4,795	5,025	5,459	6,122	6,569	5.4	4.3	9.5
Defence	467	951	927	940	1,011	1,044	1,260	1,254			
Civil	2,622	3,520	3,573	3,855	4,014	4,415	4,862	5,315			
Gross domestic fixed capital formation	4,381	5,528	5,922	7,142	7,777	8,695	9,396	9,100	3.4	12.6	5.4
Government	381	672	740	759	824	951	1,090	..			
Enterprises	4,000	4,856	5,182	6,383	6,953	7,744	8,306	..			
Change in stocks	1,311	719	− 161	853	1,438	668	1,167	− 27	—	—	—
Exports of goods and services	7,250	10,716	11,708	12,464	13,456	14,015	14,783	16,354	5.7	7.8	6.7
Less: Imports of goods and services	8,074	10,169	10,792	12,995	14,229	14,873	16,998	16,644	3.3	12.4	5.4
Gross national product at market prices	28,286	33,380	34,313	36,779	39,206	41,701	44,052	45,037	2.4	5.8	5.0

Source: Denmark's submission to the OECD.

Table II. NATIONAL PRODUCT AND EXPENDITURE

CURRENT PRICES	D. KR. MILLION								PERCENTAGE CHANGE, ANNUAL RATE		
	1950	1957	1958	1959	1960	1961	1962	1963	1950-1957	1957-1960	1960-1963
Private consumption	15,786	22,009	23,136	25,040	26,940	29,952	33,748	36,038	4.9	6.9	10.2
Public consumption	2,203	4,225	4,500	4,877	5,202	6,255	7,393	8,305	9.8	7.2	17.6
Defence	333	899	927	955	1,045	1,196	1,521	1,585			
Civil	1,870	3,326	3,573	3,922	4,157	5,059	5,872	6,720			
Gross domestic fixed capital formation	3,386	5,548	5,922	7,160	7,961	9,375	10,485	10,425	7.3	12.8	16.9
Government	290	680	740	765	845	1,070	1,290	..			
Enterprises	3,096	4,868	5,182	6,395	7,116	8,305	9,195	..			
Change in stocks	935	718	− 161	859	1,413	681	1,211	− 2	—	—	—
Exports of goods and services	5,876	11,231	11,708	12,731	13,630	14,013	15,132	17,056	9.8	6.7	6.7
Less: Imports of goods and services	6,705	10,909	10,792	12,536	14,001	14,685	16,688	16,827	7.2	8.7	6.3
Gross national product at market prices	21,481	32,822	34,313	38,131	41,145	45,591	51,281	54,996	6.3	7.8	10.2

Source: Denmark's submission to the OECD.

Table III. GROSS NATIONAL PRODUCT BY INDUSTRIAL ORIGIN AT FACTOR COST

AT 1958 PRICES	D. KR. MILLION					PERCENTAGE CHANGE ANNUAL RATE		
	1950	1958	1961	1962	1963	1950-57	1957-60	1960-63
Agriculture	5,249	5,083	5,389	5,433	5,170	0	0	− 0.2
Manufacturing[1]	7,763	9,427	11,823	12,806	13,110	2.3	7.5	5.2
Construction	1,979	2,389	3,155	3,308	3,248	2.3	6.7	4.9
Transportation and communication	2,435	3,417	3,922	4,084	4,226	4.6	3.9	4.2
Wholesale and retail trade	4,126	5,033	6,259	6,475	6,581	1.8	9.4	2.6
Government services	2,268	3,347	4,146	4,682	5,059	5.5	3.7	10.6
Other	3,977	5,258	6,115	6,399	6,666	3.8	4.6	4.1
Gross national product at factor cost	27,797	33,954	40,809	43,187	44,060	2.5	5.4	4.4

1. Including handicrafts.

Source: Denmark's submission to the OECD.

TABLE IV. EXPORTS BY MAJOR COMMODITIES

	D. KR. MILLION, CURRENT PRICES							PERCENTAGE DISTRIBUTION				
	1950	1957	1961	1962	1963	1st HALF 1963	1st HALF 1964	1950	1957	1961	1962	1963
Agricultural goods	2,846	4,081	4,513	4,608	5,144	2,493	2,532	63.0	50.1	43.2	40.9	39.8
Industrial goods	1,332	3,473	5,176	5,664	6,673	3,377	3,680	29.4	42.7	49.5	50.3	51.7
Other goods	345	584	769	984	1,101	395	510	7.6	7.2	7.3	8.8	8.5
Total	4,523	8,138	10,458	11,256	12,918	6,265	6,722	100.0	100.0	100.0	100.0	100.0

Source: Economic Survey of Denmark, Vareomsaetningen Med Udlandet.

Table V. IMPORTS BY AREA (COUNTRIES OF ORIGIN)

	D. KR. MILLION, CURRENT PRICES							PERCENTAGE DISTRIBUTION						
	1959	1960	1961	1962	1963	JAN.-OCT. 1963	JAN.-OCT. 1964	1959	1960	1961	1962	1963	JAN.-OCT. 1963	JAN.-OCT. 1964
EFTA	3,460	3,757	4,132	4,836	4,920	4,038	4,841	31.4	30.2	32.0	33.0	33.6	33.8	32.9
Norway	366	406	518	612	526	438	491	3.3	3.3	4.0	4.2	3.6	3.7	3.3
Sweden	1,011	1,183	1,395	1,722	1,755	1,431	1,856	9.2	9.5	10.8	11.7	12.0	12.0	12.6
Portugal	25	35	46	56	61	48	64	0.2	0.3	0.4	0.4	0.4	0.4	0.4
Switzerland	181	237	238	284	311	255	289	1.6	1.9	1.8	1.9	2.1	2.1	2.0
United Kingdom	1,813	1,820	1,834	2,045	2,134	1,758	2,015	16.5	14.6	14.2	14.0	14.6	14.7	13.7
Austria	64	76	101	117	133	108	126	0.6	0.6	0.8	0.8	0.9	0.9	0.9
EEC	4,049	4,813	5,089	5,539	5,259	4,346	5,225	36.8	38.8	39.5	37.8	35.9	36.3	35.6
Belgium-Luxembourg	365	487	466	490	427	348	440	3.3	3.9	3.6	3.3	2.9	2.9	3.0
France	429	548	588	588	558	455	626	3.9	4.5	4.6	4.0	3.8	3.8	4.3
Netherlands	762	797	832	886	811	665	702	6.9	6.4	6.5	6.1	5.6	5.5	4.8
Italy	232	253	327	430	381	321	415	2.1	2.0	2.5	2.9	2.6	2.7	2.8
Germany	2,261	2,728	2,876	3,145	3,082	2,557	3,042	20.6	22.0	22.3	21.5	21.0	21.4	20.7
Eastern Europe	513	558	559	614	648	517	594	4.7	4.5	4.3	4.2	4.4	4.3	4.0
Other European countries	362	459	448	503	518	416	556	3.3	3.7	3.5	3.4	3.5	3.5	3.8
U.S.A.	1,018	1,220	1,038	1,219	1,297	1,027	1,271	9.2	9.8	8.0	8.3	8.9	8.6	8.7
Rest of the world	1,611	1,621	1,629	1,955	2,003	1,615	2,205	14.6	13.0	12.7	13.3	13.7	13.5	15.0
Total	11,013	12,428	12,895	14,666	14,645	11,959	14,692	100.0	100.0	100.0	100.0	100.0	100.0	100.0

Source: Danmarks Vareindførsel og -Udførsel.

TABLE VI. PRODUCTION, EMPLOYMENT AND OTHER BUSINESS INDICATORS

Quarterly figures.

		1962				1963				1964		
		I	II	III	IV	I	II	III	IV	I	II	III
1. Agricultural production, animal products	1953 = 100	126	136	124	119	125	135	123	120	121	133	
2. Manpower:												
a) Insured unemployed more than 6 days	per cent	2.6	0.6	0.3	2.5	5.5	0.8	0.4	2.8	2.9	0.3	
b) Hours worked per month in manufacturing	1953 = 100	121	122	106	119	119	119	104	115	116	119	
3. Retail trade turnover		152	172	175	195	161	183	187	211	178	194	201
4. Building and construction:												
a) Buildings started (urban area)	1.000 m²	994	1,601	1,247	1,034	600	1,229	1,196	1,276	1,156	1,345	
b) Dwellings under construction (end of period)	1.000's	31.0	33.5	33.6	32.3	29.5	31.0	31.4	32.4			

Source: OECD General Statistics.

TABLE VII. MONETARY SURVEY

	1958	1959	1960	1961	1962	1963	1964 1st QTR.	1964 2nd QTR.	1964 3rd QTR.
	Millions of Kroner								
Central Bank:									
1. Foreign assets[1], net	796	1,301	1,505	1,483	1,322	2,808	2,798	3,082	3,481
2. Claims on government, net	2,153	1,675	1,261	1,578	1,395	795	176	− 269	− 197
3. Lending:									
a) to commercial banks	317	460	510	616	991	382	1,042	1,178	750
b) to others	44	62	74	70	101	91	52	56	91
4. Securities	556	464	472	478	839	1,044	1,102	1,142	1,228
5. Notes in circulation	2,642	2,892	3,005	3,318	3,504	3,835	3,734	3,867	3,805
6. Deposits from commercial banks	820	703	486	578	758	808	951	755	814
7. Other deposits	44	48	61	69	73	42	79	77	64
Commercial Banks:									
8. Foreign assets, net	456	323	1	− 166	− 548	− 339	− 197	− 395	− 415
9. Net position with the Central Bank	503	243	− 24	− 38	− 233	426	− 91	− 423	64
10. Lending	7,422	8,946	10,412	11,740	13,399	14,428	14,862	15,914	16,104
11. Securities	1,902	2,001	1,857	1,933	2,218	2,652	2,751	2,637	2,649
12. Deposits	9,233	10,451	11,090	12,260	13,453	15,506	15,612	16,030	16,499
	Per cent								
13. Government bank yield	6.09	5.58	5.99	6.47	7.04	7.06	6.49	7.07	7.29
14. Discount rate	4.5	5.0	5.5	6.5	6.5	5.5	5.5	6.5	6.5

1. Including gold.

Source: Monetary Review, November 1964.

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